Building Scenarios: The 3R Principle

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Note

1. The 3R Principle - Related, Relevant, Realistic

When considering how the economy may evolve, policymakers face an almost limitless set of potential scenarios. In periods of elevated uncertainty, it is always possible to imagine an ever-growing list of developments. But an unrestricted set of scenarios is not helpful. It burdens policymakers and external audiences with unnecessary possibilities and does little to support effective management of risks. Scenario selection must therefore follow a disciplined approach to ensure that only those scenarios that genuinely matter for monetary policy are examined.

FPAS Mark II employs a structured filter—the **Three-R (3R) approach**—to determine which scenarios are worth considering in policy deliberations. A scenario must be:

1. Related: It must be firmly connected to the current conjuncture and consistent with the range of plausible interpretations of the data. Initial conditions are never known with precision, and uncertainty about the state of the economy is itself a key motivation for constructing scenarios. A related scenario draws directly from this uncertainty and reflects a meaningful interpretation of the forces operating in the economy today.

2. Realistic: It must describe an evolution of the economy that *could reasonably occur*, even if it is not the most likely outcome. The aim is not to predict the future with precision but to establish credible reference points that capture how the economy might respond under alternative conditions. A realistic scenario maps out developments that are worth thinking through in advance—plausible paths that help policymakers understand the potential range of outcomes.

3. Relevant for Monetary Policy: It must address risks or developments that would materially affect the conduct of monetary policy over the medium term. If a shock could push the economy toward a harmful outcome—or a "dark corner"—in the event of a policy mistake, it merits consideration. By contrast, scenarios that are not rooted in current conditions or that have little bearing on price stability do not contribute to sound policy deliberation.

Applying the 3R criteria ensures that the Board concentrates its attention on risks and uncertainties with direct implications for achieving the price stability objective. Hypothetical or extreme shocks that are not connected to the current state of the economy—for example, an unlikely catastrophic event—may be conceivable but provide no guidance for today's policy stance.

The process for identifying candidate scenarios is inclusive. It draws on the perspectives of Board members (expressed in their Initial Macroeconomic Risk Assessments), the staff's ongoing analysis of the economy, and market participants' views as captured in surveys and financial indicators. The staff, under the direction of the Head of the Monetary Policy Department, screens these inputs to ensure scenarios meet the required criteria. Over time, continued dialogue and training encourage all participants to naturally converge toward proposing scenarios that satisfy the 3R principles.

2. Why Communication Defines Credibility

In FPAS Mark II, credibility is no longer measured by the central bank's ability to predict short-term inflation with precision. Instead, credibility emerges from transparency: how clearly the central bank explains uncertainty, how consistently it applies its analytical framework, and how responsibly it manages risks.

Communication is not supplementary-it's integral. In a world shaped by persistent shocks and nonlinear dynamics, credibility must be earned continuously through clarity, discipline, and communication about uncertainty.

3. The Credibility Cycle

Credibility under FPAS Mark II is dynamic. It evolves with every policy round through three reinforcing pillars:

- Consistency - Aligning the analytical framework, policy stance, and communication.
- Transparency - Explaining uncertainty, trade-offs, and the rationale for decisions.
- Accountability - Reviewing past projections and publicly reporting results.

These three pillars create a “credibility cycle.” Each round begins with internal analytical consistency, continues through transparent decision-making and communication, and ends with a public evaluation of outcomes. This process then repeats, strengthened by learning and feedback.

4. How FPAS Mark II Structures Communication

Communication in FPAS Mark II is tightly aligned with analysis and policy. The Monetary Policy Report (MPR) is no longer a passive summary-it is an explanatory document that shows how the Board assessed risks and reached its decision.

Each MPR presents:

- a market reference scenario,
- Case A-type scenario —reflecting narratives about economic and financial developments that would require a higher interest rate path than what is currently priced in financial markets,
- Case B-type scenario, which would require a lower policy rate path in the medium-term in order to reach price stability.

paired with a detailed discussion of risk asymmetries around each. It explains how the least- regrets principle guided the Board’s choice and how the costs of alternative actions were weighed.

Press conferences and interviews then reinforce this narrative by emphasizing prudence, learning, and humility rather than false precision.

5. Endogenous Credibility: How Communication Reinforces Policy

Credibility in FPAS Mark II is endogenous-shaped by what the central bank does and how it explains its actions. When the public understands the logic behind decisions, expectations adjust smoothly and with less volatility. Transparent communication reduces uncertainty about the reaction function, making monetary transmission more efficient.

In contrast, inconsistent or vague communication erodes credibility, raising doubts about whether decisions are grounded in analysis or driven by discretion. By embedding structured communication within the analytical and policy framework, FPAS Mark II makes credibility self-reinforcing.

6. Institutional Design: Internal Accountability

Internal communication is as important as external communication. After each policy round, the CBA conducts a Credibility Review: a formal meeting where staff and Board assess:

- forecast performance,
- market interpretations,
- clarity of communication, and
- alignment between internal analysis and external messaging.

Findings from these reviews directly shape the next MPR and the next communication cycle. This disciplined process eliminates gaps between internal views and public messages - a common source of credibility failures in other central banks.

7. Comparative Perspective

Many large central banks-such as the Federal Reserve, Bank of England, and ECB, treat communication as a post-decision output rather than as part of the policy process itself. This has resulted in inconsistent messaging and misaligned forward guidance during periods of high uncertainty.

In contrast, FPAS Mark II integrates communication from the very beginning of the policy round. The CBA's approach emphasizes structure, transparency, and humility, treating uncertainty not as a weakness but as an inherent feature of the world that must be managed openly.

8. Conclusion – Credibility Through Clarity

The Three-R principle ensures that only policy-relevant scenarios enter the FPAS Mark II process. A scenario must be *related* to the current economic context, reflecting plausible interpretations of today's conditions; it must be *realistic*, describing developments that could credibly unfold even if they are not the most likely; and it must be *relevant*, capturing risks that have direct implications for monetary policy and the medium-term inflation outlook. By applying these criteria, FPAS Mark II narrows a limitless universe of hypothetical paths to a concise set of scenarios that genuinely matter for informed policy deliberation.

The essence of FPAS Mark II communication is turning uncertainty into credibility. By explaining how risks are managed-rather than pretending they can be eliminated-the CBA strengthens transparency, accountability, and trust.

Credibility becomes not a reputation inherited from the past, but a continuously earned outcome of prudent and structured communication.

Literature & Further Reading

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Script

Hello everyone, I'm Susanna Grigoryan, an economist at the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this video, we begin with one of the foundations of FPAS Mark II: the **3R Principle** for scenario selection – *Related, Realistic, and Relevant*. This principle not only guides how we think about uncertainty, but also plays a central role in how the CBA builds credibility under FPAS Mark II.

In this framework, credibility is not built by predicting short-term inflation with great precision. It is earned by showing the public that we manage uncertainty in a disciplined, structured, and responsible manner. The Three-R Principle is the first step in that discipline. FPAS Mark II does not consider an unlimited universe of hypothetical scenarios. Instead, a scenario must be **related** to current economic conditions, **realistic** in the sense that it could credibly unfold, and **relevant** for monetary policy and the medium-term inflation outlook. This filter narrows countless possibilities down to the specific scenarios that truly matter for informed policymaking.

Once the Board and staff identify scenarios that meet the Three-R criteria, the CBA constructs the **Market Reference Scenario**, a **Case A scenario** that would require a higher policy rate path, a **Case B scenario** that would require a lower path, and additional illustrative scenarios when needed. These are not alternatives the Board chooses between. Instead, they form a structured map of risks that helps policymakers understand the range of plausible outcomes and the trade-offs they must manage.

This scenario-based structure leads directly into the broader risk-management approach of FPAS Mark II. Under this system, credibility is not about offering a single, deterministic forecast. It is about showing how uncertainty is interpreted, how risks are weighed, and how policy decisions are grounded in a transparent and internally consistent framework.

Communication plays a central role in this process. In FPAS Mark II, communication is not an afterthought added at the end of the decision. It is an integral part of the analytical and policy cycle. The way the CBA communicates *follows the same structure* that guides internal analysis: the scenarios considered, the risks evaluated, and the least-regrets principle applied when reaching a decision.

Credibility under FPAS Mark II is therefore **dynamic**. It evolves through a cycle with three reinforcing pillars. First, **consistency**, meaning alignment between the analytical framework, the policy stance, and the messages conveyed to the public. Second, **transparency**, which requires clear explanations of uncertainty, trade-offs, and the reasoning behind decisions. Third, **accountability**, which means evaluating past projections and decisions and reporting the results publicly.

Together, these pillars form a self-reinforcing credibility cycle. Each policy round begins with internal analytical discipline, continues through transparent communication, and ends with a public review of outcomes. The lessons learned feed directly into the next round.

The Monetary Policy Report is the main document that makes this process visible. It no longer presents a single forecast. Instead, it provides a narrative explanation of how the Board assessed risks through the Market Reference, Case A, and Case B scenarios, and how the least-regrets principle guided the policy decision. By focusing on narratives and risks, rather than point predictions, the MPR shows the public *how* decisions were reached, not just *what* those decisions were.

Press conferences and interviews reinforce this structure by emphasizing prudence, learning, and humility rather than certainty. The aim is not to claim knowledge of the future, but to show that the central bank is prepared for a range of plausible outcomes and that policy decisions are grounded in coherent logic.

A key insight of FPAS Mark II is that **credibility is endogenous** – it is created by what the central bank does and how clearly it explains its decisions. When communication is structured and transparent, expectations adjust smoothly, monetary transmission becomes more effective, and trust strengthens over time. When communication is inconsistent or vague, credibility weakens, and uncertainty increases.

Internal communication is just as important as external communication. After each policy round, the CBA holds a **Credibility Review** to evaluate forecast performance, market interpretation, and the effectiveness of communication. The conclusions from this review directly shape the next MPR and the next communication cycle, ensuring that internal and external messages remain aligned.

Many large central banks still treat communication as something prepared after the decision has already been made. This often leads to inconsistencies, especially during periods of high uncertainty. FPAS Mark II takes a different approach. Communication is embedded from the start of the policy round, integrated with analysis and decision-making, and designed to reflect institutional humility and transparency.

The essence of FPAS Mark II communication is to make **uncertainty credible**. By explaining how risks and trade-offs are managed, rather than **pretending they can be eliminated,** the CBA strengthens transparency, accountability, and ultimately credibility. In this framework, credibility is not a static reputation but a continuously earned result of disciplined communication and consistent decision-making.

In the past, credibility was often judged by forecast accuracy. Today, in an environment shaped by significant uncertainty, credibility is built by showing how decisions are made. At the CBA, communication is an integral part of the analytical process itself. Each policy round ends with a clear explanation of what we have learned, what risks matter most, and how we balanced those risks in making the final decision. This approach allows the public to trust not that we know the future, but that we manage uncertainty with discipline.

FPAS Mark II shows that credibility and communication are inseparable. Transparency creates understanding. Understanding builds trust. And trust anchors expectations—the ultimate aim of monetary policy.

Thank you for watching. I would like to acknowledge **Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervalidze** at the Global Forecasting School for their guidance and support in producing this video.

See you in the next video!